

# 1. Strategic Objective

As we pivot SV Capital from a boutique Product House to a scalable Alternative Investment Platform, our internal culture must evolve alongside our business model. To scale our Assets Under Management (AUM) to our 3-year target without exponentially bloating our fixed overheads, we require a self-regulating, high-performance operational environment.

The **Economic Value Added (EVA) Compensation Pool** is designed to transform our staff from salary-dependent employees into internal micro-entrepreneurs. By linking operational costs, headcount dilution, and platform revenue into a singular, transparent ledger, the team will naturally optimize processes, eliminate operational waste, and actively protect our margins.

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## 2. Core Financial Mechanics & Allocations

The EVA Pool operates as an internal ledger funded dynamically by our primary capital channels and debited by non-essential operational friction.

### A. Inflow Architecture (The Raise Cut)

A set percentage of the upfront fees generated from new AUM milestones will be systematically routed to the collective staff pool. Based on our current conservative targets, the suggested allocation modeling is structured as follows:

- **Retail Segment (Target: R50M @ 3.5% Upfront):**  $x = 20\%$  of upfront fees routed to the pool.
- **HNWI Segment (Target: R300M @ 2.0% Upfront):**  $x = 20\%$  of upfront fees routed to the pool.
- **Institutional Segment (Target: R100M @ 1.0% Upfront):**  $x = 25\%$  of upfront fees routed to the pool (adjusted higher to reward the intensive due diligence required).

### B. Outflow Deductions (The Operational Drag)

To incentivize cost-saving behaviors, the pool is debited for any team-initiated expenses that fall outside basic baseline business continuity. Net pool value is calculated using the following deduction hierarchy:

**Net EVA Pool Balance = Gross Inflows – (Team Events + Unscheduled Headcounts + Office Perks + SaaS/Software Waste)**

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### 3. The Four Governance Rules

To maintain total clarity and eliminate ambiguity, the system will be governed by four non-negotiable operational boundaries:

#### Rule 1: The Baseline Salary Floor

Standard monthly salaries remain entirely guaranteed by SV Capital's corporate layer. This ensures baseline financial safety for the team. The EVA Pool exclusively dictates **discretionary perks, team budgets, salary increases, and bonuses**.

#### Rule 2: The Dilution Rule (Self-Funded Headcount)

If the team requests additional administrative or operational staff, the request is automatically greenlit by leadership under one condition: **the new hire's compensation is paid directly out of the active EVA Pool**. This forces the team to critically assess whether an operational bottleneck requires a manual hire (which dilutes their individual bonus shares) or if it can be resolved via software automation.

#### Rule 3: The Deficit Ledger Protocol

In the event of a dry quarter with zero platform capital inflows, baseline salaries are still honored, pushing the EVA ledger into a negative balance. SV Capital's corporate layer essentially logs this as a liquidity loan to the pool. When the next platform raise closes, the corporate layer hooks back its capital to clear the deficit *before* the staff ledger returns to green.

#### Rule 4: The Bad Leaver Clause

If a team member resigns or is dismissed for performance milestones failures prior to the designated payout cycles (e.g., bi-annually or every December), their accrued share is permanently forfeited back into the ledger and redistributed to the remaining active team.

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### 4. "Papa Action" Dashboard UI Design

To drive daily execution, the system must be entirely transparent and visually updated. We will build this module directly into our upcoming internal employee interface, **Papa Action**, utilizing two primary interface blocks:

## Block 1: The Live Ledger Overview

Visible to all employees to visualize company health and the impact of daily spending.

- **Gross Inflows (Quarter-to-Date Raises):** R 450,000.00
- **Less Corporate Hookback (Deficit Clearance):** -R 150,000.00
- **Less Discretionary Outflows (SaaS Overlap/Team Expenses):** -R 5,700.00
- **Current Net EVA Pool Balance:** R 294,300.00

## Block 2: The Peer Share & KPI Matrix

Individual payout allocation is computed mathematically based on an employee's Cost to Company (CTC) relative weight, multiplied by their live objective KPI score.

Individual Share=(Total Team CTCEmployee CTC)×KPI Completion Rate (%)

This transparency highlights precisely who is actively building the pool versus who is acting as a passenger, allowing the system to peer-regulate without management intervention.

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## 5. Payout Autonomy & Flex-Structures

At designated payout intervals, employees are granted structural autonomy over how their earned value is realized:

1. **Lump-Sum Bonus:** Withdrawn immediately as cash.
2. **Baseline Salary Adjustments:** Permanently allocated to bump their fixed baseline salary tier for the subsequent 12 months (calculated against a structured risk multiple to ensure company stability).
3. **Team Bank Rolling:** Voluntarily left in the ledger to bankroll premium internal perks, team travels, or advanced workspace tool updates.

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## 6. Realization Timeline & Next Steps

To implement this system cleanly before rolling it out to the staff, I suggest we align on the following timeline:

- **Step 1 : Internal Founder Realignment**
  - Review our operational cash flow thresholds to finalize the definitive input parameters for the formulas.
- **Step 2: Tech Stack Integration**
  - Hardcode the ledger algorithm into the database underpinning the *Papa Action* environment to ensure accurate real-time data visual feeds.
- **Step 3: Team Launch Session**

- Present this strategic framework to the staff during our scheduled team alignment. We will frame this not as an accounting shift, but as a handoff of operational autonomy and entrepreneurial equity.

Please review this framework and note any structural refinements you would like to make so we can lock down the financial modeling during our alignment session.